



The performance impact of post-M&A interdepartmental integration: An empirical analysis

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ABSTRACT

This study investigates how post-M&A interdepartmental integration affects the efficiency and effectiveness of new product development (NPD). The total sample size was 251 respondents. Confirmatory factor analysis (CFA) and structural equation modeling (SEM) were used for statistical analysis. Analytical results indicate that, although collaboration interdepartmental integration positively correlates with product vision, interaction interdepartmental integration does not reach a significant level. Despite the fact that some interaction is essential when developing new product competitive advantage (NPCA), such interaction does not necessarily achieve success. Further, product vision positively correlates with new product competitive advantage and NPD performance, and new product competitive advantage positively correlates with NPD performance. In addition, an examination of the mediation effect in terms of *Sobel t*-test reveals that product vision is a significant mediator for the influence of interdepartmental integration on new product competitive advantage, while the new product competitive advantage is also a significant mediator for the influence of interdepartmental integration on NPD performance. Moreover, this study provides a framework for managing post-M&A integration and closes with a discussion of the theoretical and practical implications of the research findings.

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1. Introduction

Rapid technological advances, shortened product life cycles, and increased technological complexity are increasingly compelling firms to outsource technological development (Bannert & Tschirky, 2004). A major reason for undertaking a merger and acquisition is to access technological knowledge and enhance new product development (NPD) capabilities (Grimpe, 2007). Immediately after an acquirer completes the legal procedures of an M&A, achieving the so-called M&A synergy of $1 + 1 > 2$ is essential for effective interdepartmental integration. However, existing empirical research shows that most M&As fail to achieve the desired results; in fact, the failure rate is roughly 60%–80% (Mark & Mirvis, 2001). Identifying ways to increase the success rate of M&As is a major objective of academia and the industry (Jaspers & Ende, 2006; Palmatier, Miao, & Fang, 2007).

New products form the core of enterprise sustainability. However, NPD is an intricate and complex process. Each step of this process – from investigating consumer needs, interdepartmental cooperation, technical risks during the development process, analyzing strategies

of competitors, obtaining resources, and others – significantly impacts NPD. New product development (NPD) represents the focal point of competition for many firms (Brown & Eisenhardt, 1995; Clark & Fujimoto, 1990; Song & Montoya-Weiss, 1998). Nevertheless, influence is germane to NPD because NPD essentially addresses risk, ambiguity, and uncertainty; and is replete with functional conflicts caused by differing perceptions and self-interests (Frost & Egri, 1991; Ruekert & Walker, 1987). Similar related research results are found that the focus on the importance of understanding company NPD as a result of the efficient use of unique company capabilities that create sustained performance differentials within industries. (Barney, 1991; Rumelt, 1984; Teece, 1982; Wernerfelt, 1995). However, managers who are responsible for NPD may have limited authority to acquire information, resources, and support (Maute & Locander, 1994). Previous large-sample studies in the acquisition strategy literature have examined the motives for acquisitions and have investigated the pre-acquisition and post-acquisition performance of targeted and acquiring firms (Lubatkin, 1987; Seth, 1990; Singh & Montgomery, 1987). These studies suggest that M&A activity is likely to impact the outcomes of the NPD process. Nevertheless, despite its importance, little evidence suggests that M&A integration and NPD are related.

In co-competitive environments; among customers, competitors, suppliers and complementors, you have to compete and cooperate at the same time; the most successful strategy is to change the rules of

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